

Global Electronics Store

- 2020 performance & revenue drivers
- Timing of the decline
- Forecast scenarios
- Channel, market & product performance
- Management priorities for recovery

Shareholder briefing / Portfolio case study using mock retail data

\$9.29M

Total yearly revenue

Revenue fell 49.1%.
Gross profit: \$5.45M.
Order recovery is the
priority.

REPORTING YEAR

2020

Fewer orders drove the revenue decline

2020 versus 2019. Average order value and the gross margin rate were broadly stable.

REVENUE

\$9.29M

-49.1% YoY

2019: \$18.26M

DISTINCT ORDERS

4,635

-49.0% YoY

2019: 9,083 orders

AVERAGE ORDER VALUE

\$2,005

-0.3% YoY

2019: \$2,011

Management implication

Recover order volume while protecting gross profit per sale.

Gross margin remained 58.6% (+0.04 pp).

Order volume explains 99.7% of the revenue decline

2020 versus 2019. Revenue = distinct orders × average order value.

Revenue bridge	USD millions
2019 revenue	\$18.264
Fewer orders at 2019 AOV	−\$8.944
Change in AOV at 2020 orders	−\$0.026
2020 revenue	\$9.295

4,448

fewer orders in 2020

\$5.52

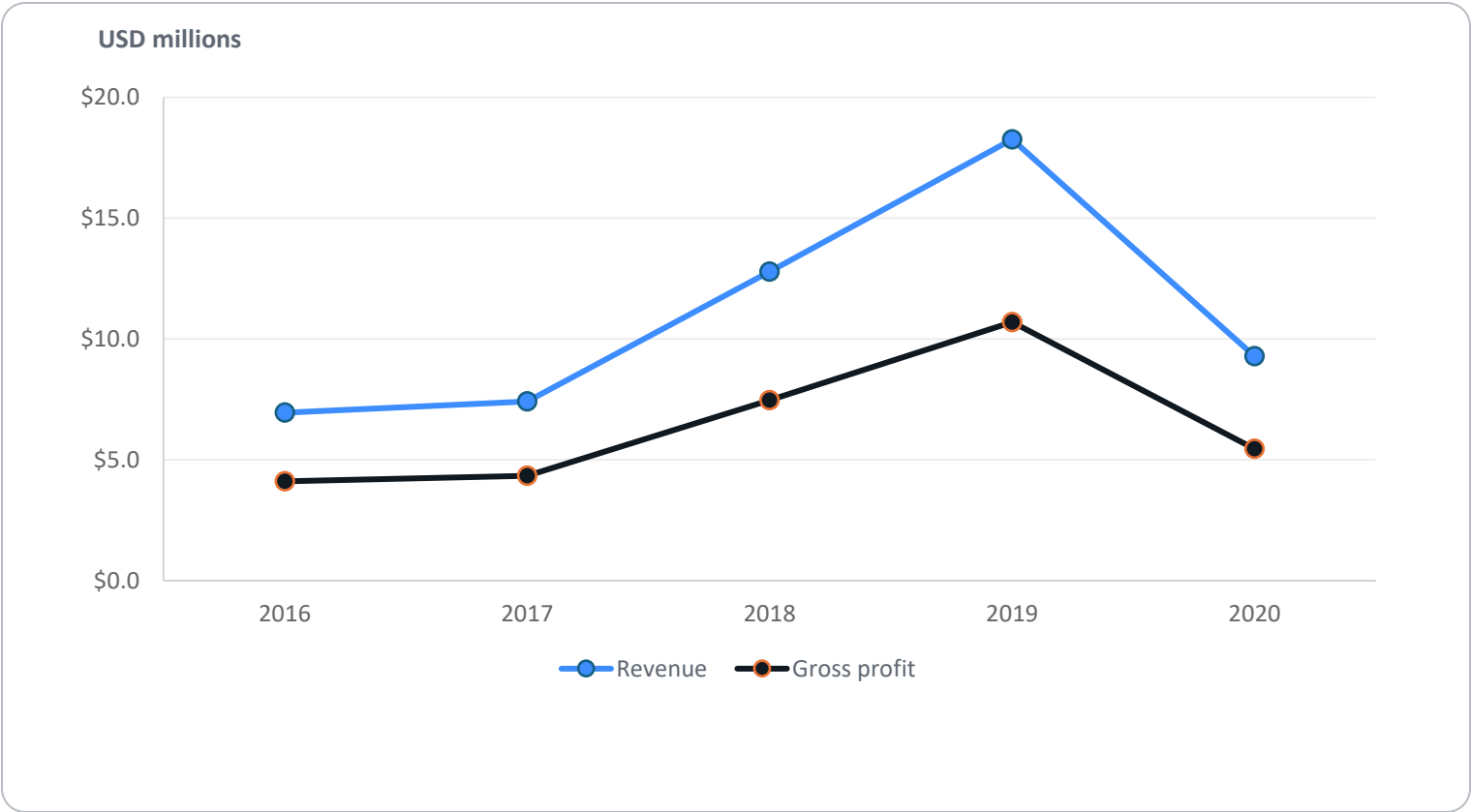
lower avg order value

Commercial focus: restore transactions while monitoring gross profit per order.

AOV combines price, units per order and product mix. Figures may differ slightly due to rounding.

Three years of volume-led expansion ended in a sharp reset

Annual revenue and gross profit, USD millions. Partial 2021 data is excluded.



01 2016–2019 expansion

Revenue rose 163% and orders rose 217% from 2016 to 2019. AOV fell 17%.

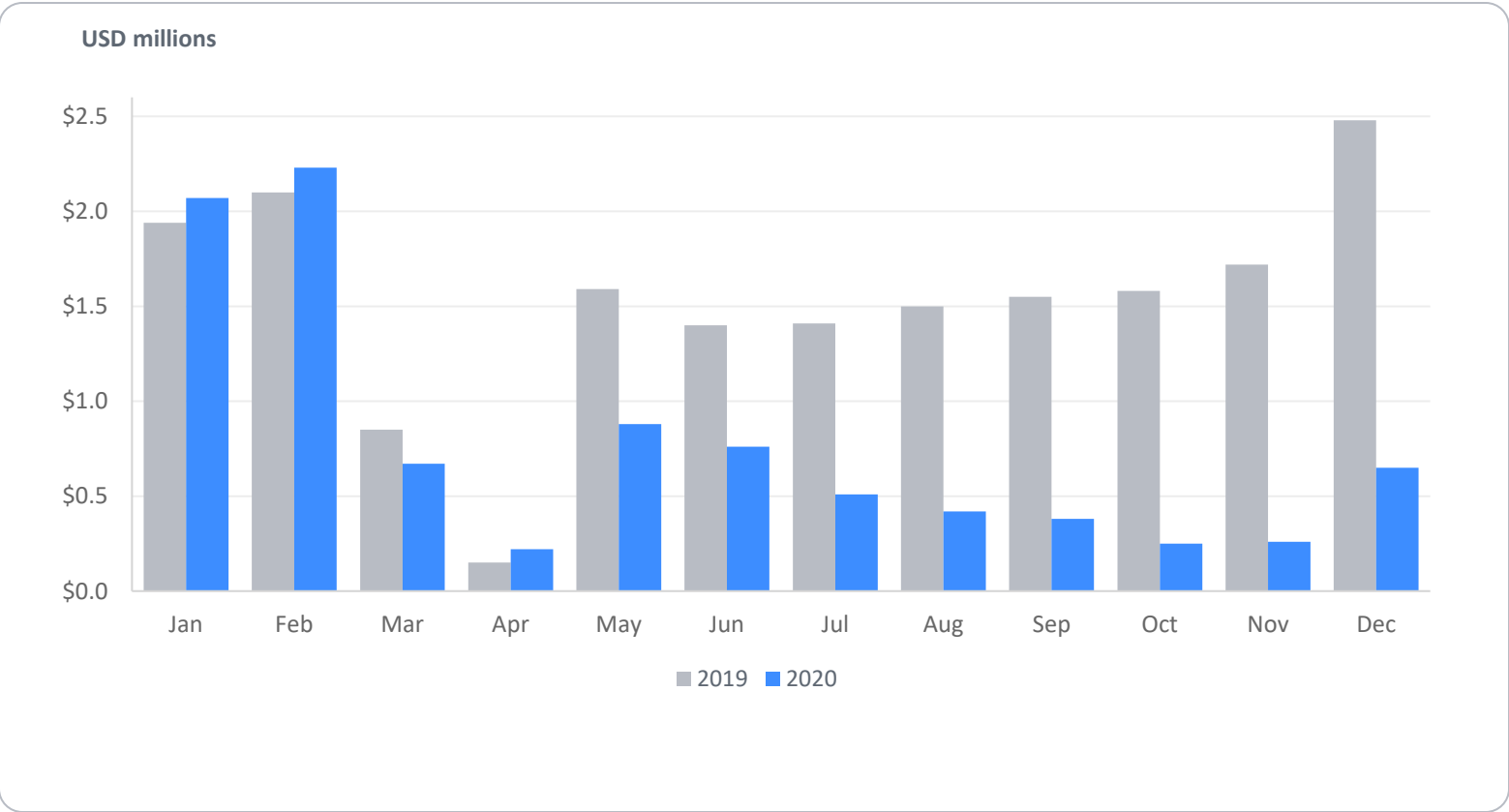
02 2020 contraction

Revenue was 27.3% below 2018. The stable margin rate could not offset the loss of sales.

Gross profit fell by \$5.25M

Revenue momentum broke as COVID-19 escalated in March

Jan–Feb revenue grew 6.2% YoY, while orders grew by 15.7% Q4 revenue fell 80.0% YoY.



01 Growth before March

Orders grew in Jan-Feb but growth was already below the long-run trend.

02 March timing

WHO characterized COVID-19 as a pandemic on 11 March - March revenue fell 20.2% YoY.

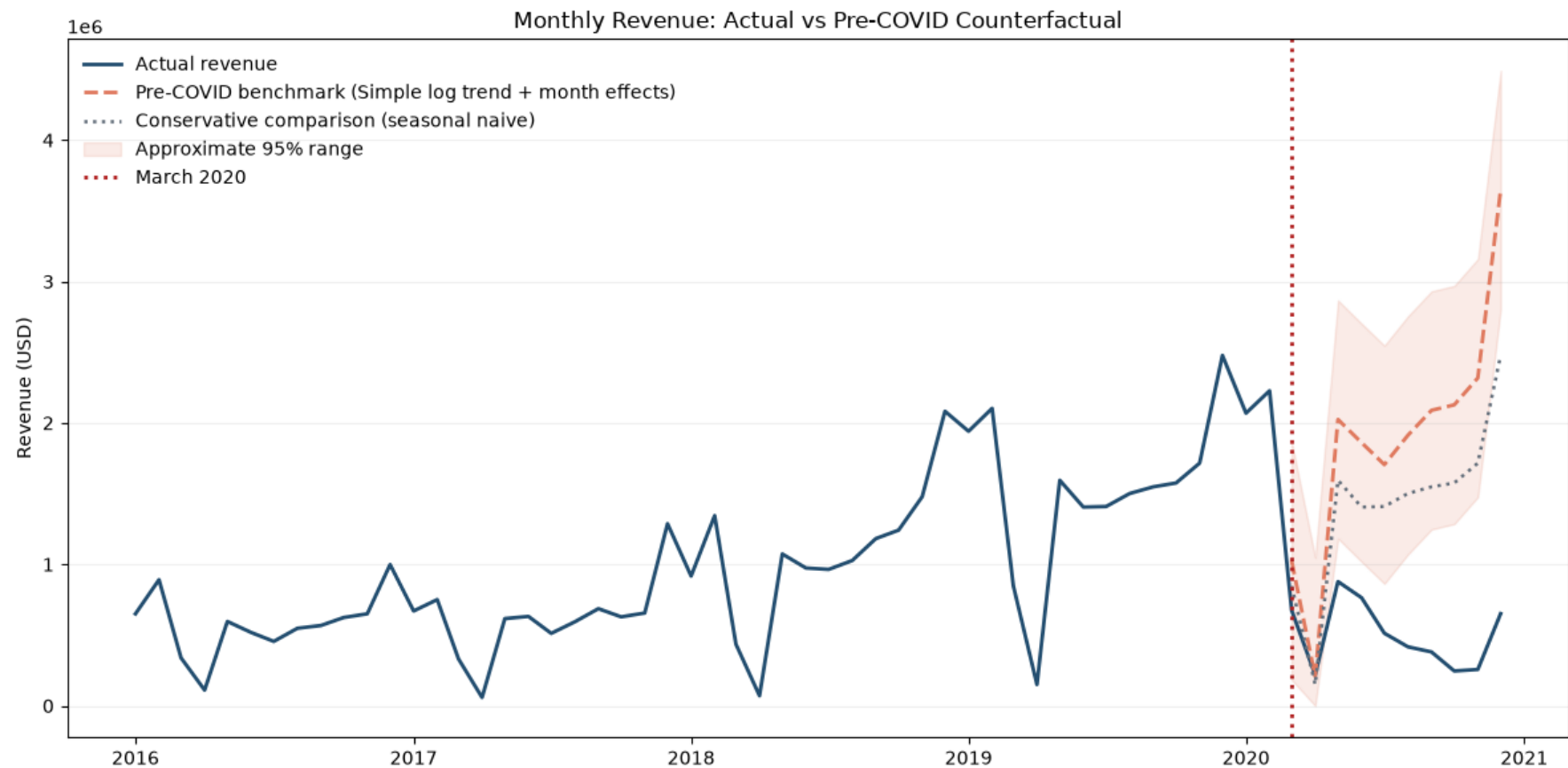
03 Retail disruption persisted

April rose 45.2% from a low 2019 base. From month from May to December declined. Q4

The timing is consistent with pandemic disruption. Mock sales data cannot establish its cause.

Revenue fell well below both historical benchmarks

March–December 2020. Scenarios assume historical patterns continued after February.



ACTUAL REVENUE

\$5.00M

PRIOR-YEAR PATTERN

\$14.22M

Gap: **-\$9.22M / -64.9%**

REVENUE W/ GROWTH TREND

\$18.92M

Gap: **-\$13.92M / -73.6%**

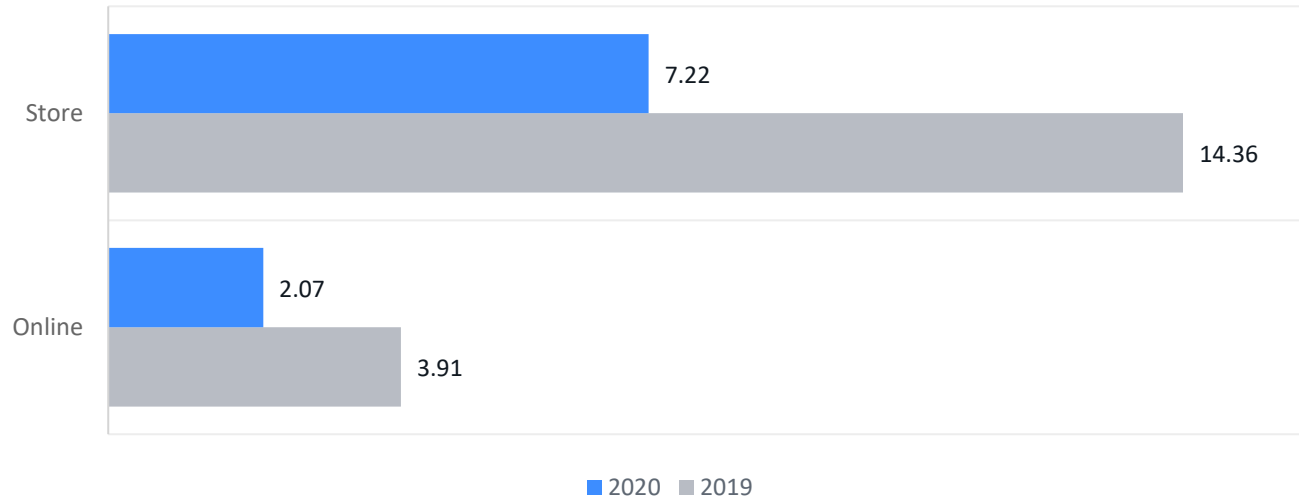
38% fitted annual growth versus 6.2% recent YoY growth makes the higher scenario sensitive to assumptions.

Scenario comparisons, not causal losses or sales targets. Shading is an visualization of the 95% confidence interval.

Both channels lost revenue despite a higher online share

2019 versus 2020 revenue by sales channel, USD millions.

USD millions



22.3%

online share of 2020 revenue

01 Absolute sales declined

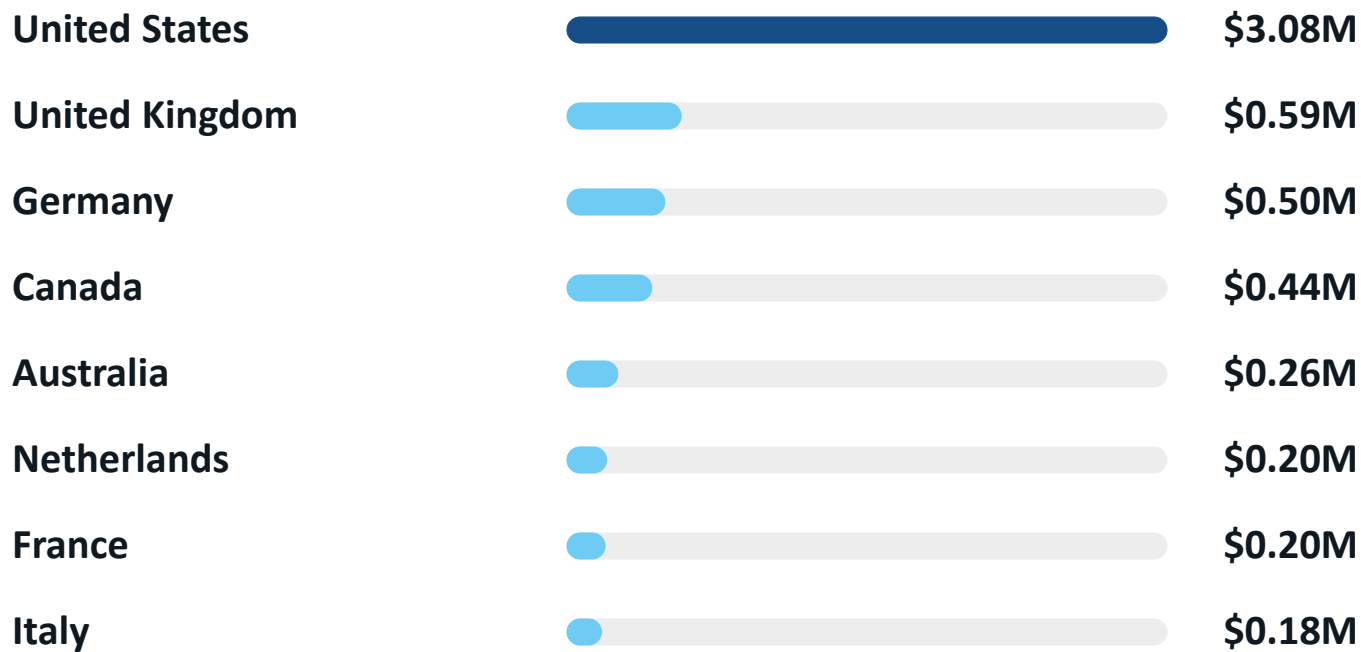
Online lost \$1.84M (−47.0%). Stores lost \$7.13M (−49.7%). Online share rose 0.87 pp.

02 Operating priority

Pilot store collection where viable.
Scale only if orders and contribution after fulfilment costs improve.

The US accounts for 57% of gross profit

2020 gross profit by customer country, USD millions.



76.6%

of gross profit came from the top three countries

01 Defend the core

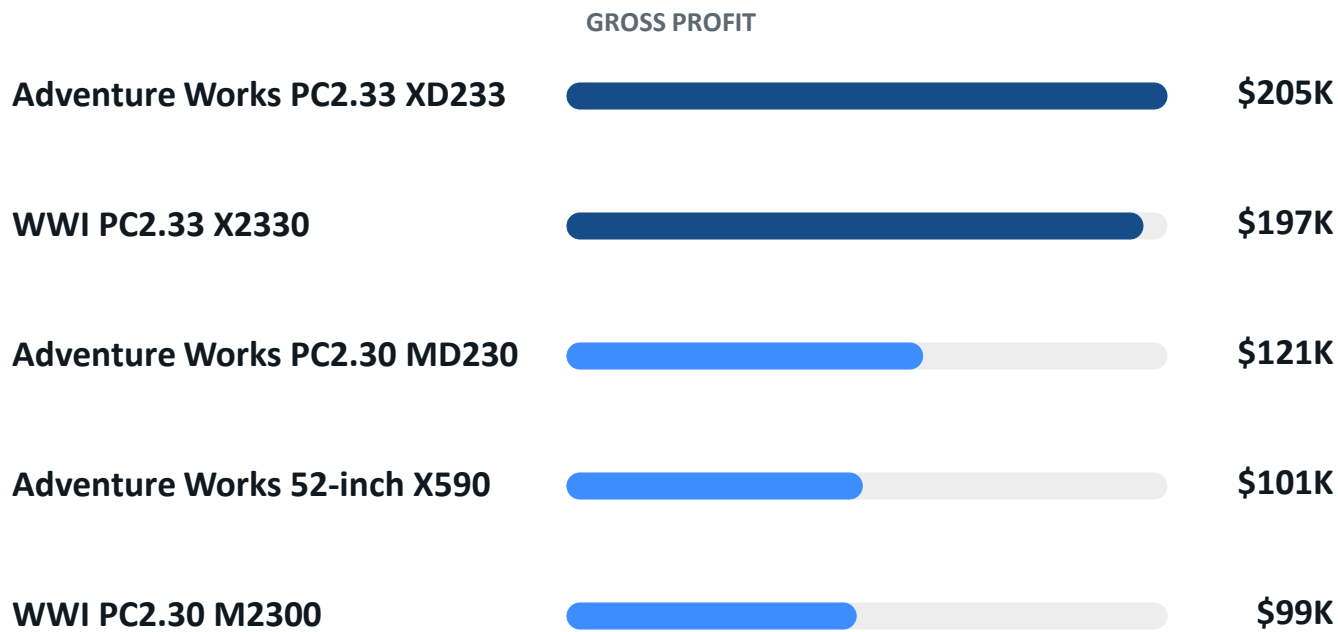
The US generated \$3.08M gross profit and 54.3% of the total gross-profit decline.

02 Test targeted recovery

France declined least (–29.8%). Check channel and product mix before applying lessons elsewhere.

Computers contribute 39.5% of gross profit

Top five models by 2020 gross profit. Colour variants are grouped together.



\$2.15M

2020 gross profit from Computers

01 Profit spans many models

The top five models generated 13.3% of gross profit. The largest contributed 3.8%.

02 Merchandising action

Plan demand by model, then review inventory by colour. Test bundles before broad discounting.

Four practical priorities for retail recovery

Target availability, channel fulfilment, market decisions and inventory cash.

01 Protect product availability

Prioritize high-demand, high-margin products and strengthen supply visibility.

02 Integrate stores and online

Use stores and online channels together to rebuild order volume and improve customer access. Offer collection and local fulfilment where practical. Re-engage past buyers and measure online orders, revenue and delivery performance.

03 Protect the US core

Prioritize US availability and marketing efficiency. Test localized plans in resilient markets before major inventory commitments.

04 Improve assortment and cash efficiency

Reduce slow-moving variants, optimize inventory allocation, and protect margins through targeted promotions.

MANAGEMENT FOCUS

Track order recovery, product availability, channel performance and gross profit to assess progress.

The growth model won three of four test windows

Pre-March 2020 tests. WMAPE is total absolute forecast error divided by total actual revenue. Lower is better.

12-month holdout	Growth model	Seasonal naive
Jan–Dec 2018	43.2%	42.0%
Jul 2018–Jun 2019	38.3%	42.7%
Jan–Dec 2019	19.4%	30.0%
Mar 2019–Feb 2020	10.5%	21.3%
Pooled overlapping windows	26.1%	33.0%

3 of 4

test windows favoured
the growth model

Recent-growth caution

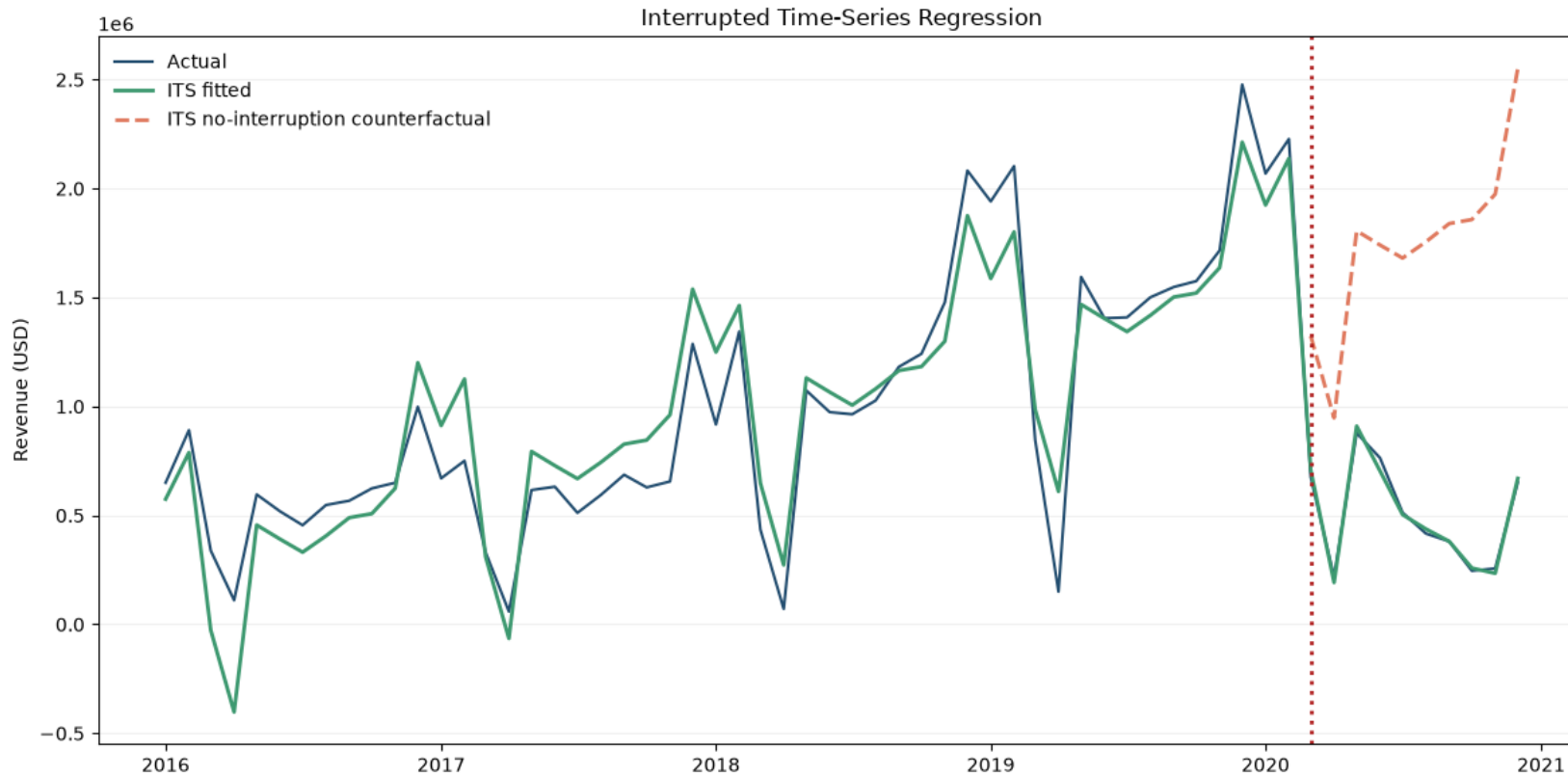
Jan–Feb 2020 WMAPE:
growth model 13.4%
seasonal naive 5.9%

The windows overlap and informed model selection. They are not independent confirmation of forecast accuracy.

Final fit: 50 months through February 2020. The 38% annual trend is an extrapolation assumption. Keep seasonal naive as a lower reference.

Regression also identifies a break around March 2020

A separate retrospective model controls for a linear trend and calendar-month effects.



-\$615K

Adjusted March level change
95% CI: -\$754K to -\$475K

+\$28K to -\$113K

Estimated monthly trend
before and after March

Only 10 months after the break and no control group. Residual autocorrelation remains (DW 0.754).

The dashed ITS curve is separate from the \$18.92M forecast. Neither analysis identifies a causal COVID-19 loss.